

STATE OF NEW YORK

3845--B

2025-2026 Regular Sessions

IN SENATE

January 30, 2025

Introduced by Sen. HOYLMAN-SIGAL -- read twice and ordered printed, and when printed to be committed to the Committee on Judiciary -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the real property law and the general obligations law, in relation to prohibiting residential landlords from charging tenants a fee for a dishonored rent check in excess of the actual costs or fees incurred by such landlord as a result thereof

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. Section 238-a of the real property law is amended by adding
2 a new subdivision 2-a to read as follows:

3 2-a. (a) No landlord, lessor, sub-lessor or grantor shall demand any
4 payment, fee, or charge from a tenant for the delivery of a check, draft
5 or like instrument that was given in payment for rent and subsequently
6 dishonored by the tenant's financial institution for insufficient funds
7 except as provided in paragraph (b) of this subdivision.

8 (b) Notwithstanding any contrary provision herein, a landlord, lessor,
9 sub-lessor or grantor may demand any payment, fee, or charge from a
10 tenant for the delivery of a dishonored check only if such payment, fee,
11 or charge was provided for in the lease or contract between landlord,
12 lessor, sub-lessor or grantor and the tenant; provided, however, that:

13 (i) such payment, fee, or charge shall not exceed the actual costs,
14 charges or fees incurred by landlord, lessor, sub-lessor or grantor for
15 the return of such dishonored check or the amount set forth in subdivi-
16 sion three of section 5-328 of the general obligations law, whichever is
17 greater; and

18 (ii) if the payment, fee or charge exceeds the amount set forth in
19 subdivision three of section 5-328 of the general obligations law, the
20 landlord, lessor, sub-lessor or grantor shall provide to the tenant upon

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

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1 request evidence substantiating the equivalence between the payment, fee
2 or charge and the amount of actual costs, charges or fees incurred for
3 the return of the dishonored check.

4 (c) As used in this subdivision, "dishonored check" shall have the
5 same meaning as such term is defined in section 5-328 of the general
6 obligations law.

7 (d) The provisions of this subdivision shall not apply to a sharehold-
8 er of a cooperative housing corporation, provided, however, that the
9 provisions of this subdivision shall apply with respect to any tenant or
10 subtenant of such a shareholder.

11 § 2. Subdivision 3 of section 5-328 of the general obligations law, as
12 added by chapter 529 of the laws of 1995, is amended to read as follows:

13 3. (a) Notwithstanding any other provision of law, any person to whom
14 a check, draft or like instrument, other than a money order, bank cash-
15 ier's check or certified check, is tendered for any transaction, other
16 than a consumer transaction, may, if such instrument is dishonored
17 charge or collect from the maker or drawer the amount of twenty dollars
18 for the return of such unpaid or dishonored instrument.

19 (b) Notwithstanding any other provision of this subdivision, a land-
20 lord, lessor, sub-lessor or grantor to whom a check, draft or like
21 instrument, other than a money order, bank cashier's check or certified
22 check, is tendered for payment of rent, may if such instrument is
23 dishonored charge or collect from the maker or drawer the amount of
24 actual costs, charges or fees incurred by such landlord, lessor, sub-
25 lessor or grantor for the return of such dishonored check or the amount
26 set forth in paragraph (a) of this subdivision, whichever is greater,
27 provided that:

28 (i) if the payment, fee or charge exceeds the amount set forth in
29 paragraph (a) of this subdivision the landlord, lessor, sub-lessor or
30 grantor shall provide to the tenant upon request evidence substantiating
31 the equivalence between the payment, fee or charge and the amount of
32 actual costs, charges or fees incurred for the return of the dishonored
33 check; and

34 (ii) such dishonored check charge was contracted for in the lease
35 agreement between the tenant and landlord, lessor, sub-lessor or grantor
36 in accordance with the requirements of subdivision two-a of section two
37 hundred thirty-eight-a of the real property law. The provisions of this
38 paragraph shall not apply to a shareholder of a cooperative housing
39 corporation, provided, however, that the provisions of this paragraph
40 shall apply with respect to any tenant or subtenant of such a sharehold-
41 er.

42 § 3. This act shall take effect immediately and shall apply to actions
43 and proceedings commenced on and after such effective date.